

components will benefit from this opportunity more as there is still a lot of untapped demand for PCs in the country,” says Jaipal Singh, associate research manager, Client Devices, IDC India.

Singh, in IDC’s PC market report for the fourth quarter of 2020, had added, “2021 will give another opportunity to the vendors to leverage the missed prospects due to supply constraints in 2020. So far, consumer demand does not seem to be abating anytime soon, and enterprises also continue to place fresh orders. Additionally, many government education deals are under discussion, which can set a strong foundation for 2021. However, if the current supply challenges continue for some more months, it can offset the ongoing demand to some extent. Availability of the devices will not only be critical for the category growth but will play an important role in the expansion of the market in the country.”

“Rupees 30,000 crore (US\$4 billion) worth of laptops and rupees 3,000 crore (US\$400 million) worth of tablets are currently sold in India. Of this, more than 80 percent is imported. As a result of the latest PLI, the government hopes to draw into India the top 5 global companies which control 50 percent of the international market. A total 32,600 crore rupees (US\$4.35 billion) worth of production will be achieved, of which 75 percent will be made up by exports,” Telecom Minister Ravi Shankar Prasad had said while launching the scheme.

The Opex part

The manufacturers’ association MAIT feels that this is the first time an Opex based scheme for promoting manufacture of electronics has been announced in India. The basic difference between the Capex and Opex models lies in the long-term and short-term. Capital expenditures (Capex) are purchases of significant goods or services that will be used to improve a company’s performance in the future whereas operating expenses (Opex) are the costs a company incurs for running its day-to-day operations.

“We have had capex based schemes like M-SIPS. In such schemes, EMS companies were eligible for

incentives on the basis of investments they made. For example, if a company invests more than 10 crore (US\$1.33 million), and the threshold limit is 10 crore, the company becomes eligible to get incentive on the basis of investment above the amount, but that is usually the only incentive available in such schemes. There were never incentives based on how much a company is building its manufacturing capacity,” explains Nitin.

He adds, “The PLI for IT hardware, along with many other PLIs, is the first scheme that is promising incentives based on how much you produce. This is where the Opex and Capex parts get differentiated. There is also a cap on this PLI scheme, but that is a good thing as the government has ensured that things do not get out of the hand.”

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Notably, the PLI for IT hardware is offering an incentive of four percent to two/one per cent on net incremental sales (over base year) of goods manufactured in India and covered under the target segment, to eligible companies, for a period of four years. The target segment under PLI includes laptops, tablets, all-in-one PCs, and servers. According to IDC, the market size for laptops in India was approximately 75 lakh (7.5 million) units in 2019-20 valued at 33,950 crore rupees (US\$4.53 billion).

Similarly, the market size for tablets was around 24 lakh (2.4 million) units, valued at 3,500 crore rupees (US\$0.47 billion). As per IDC, the global server market stood at 120 lakhs (12 million) units valued at 644,000 crore rupees (US\$85.9 billion)

in 2019-20. During the same period, the Indian market stood at two lakhs (0.2 million) units valued at 9,100 crore rupees (US\$1.21 billion) in 2019-20. MeitY, the Ministry of Electronics and Information Technology, explains that India’s personal computer (PC) penetration at 15 per 1,000 people is significantly lower compared to the United States (784 for 1,000 people) and China (41 per 1,000 people), and thus presents significant growth opportunities.

“Twenty times incentive on the basis of your investment is a very good incentive. Capex based incentives were not able to create wider based incentives. These were able to help a lot of companies import a lot of machines in the country. Companies were not getting benefited as they would have liked to. The current scheme would not only ensure production but would also help companies build a local ecosystem in India,” says Nitin.

The scheme has included PCB assembly, assembly of battery packs, assembly of power adapters, and assembly of cabinets under its aegis. For the PCB assembly part, the applicant, if finalised, will need to assemble these himself locally in India. The rest of the segments can be assembled locally by the company itself, or by one of its vendors. An incremental incentive of 3 percent will be on offer starting April 1, 2022 on local assembly of PCBs. Similarly, starting 1st April 2023, this incentive would be two percent on local assembly of PCBs and battery packs, and from 1st April 2024, the incremental incentive offered would either be two percent for local assembly of PCBs, battery packs, SMPS, and cabinets, or one percent on local assembly of PCBs, battery packs, and SMPS.

Rupees 720 crore (US\$96 million) have been earmarked as the total incentive for the first year, 1,305 crore (US\$174 million) for the second year, 1,820 crore (US\$243 million) for the third year, and 3,480 crore (US\$464 million) for the fourth year. Thus, the total amount of incentives for the four years is 7,325 crore rupees (US\$977 million approximately).

“At the end of each year, any unappropriated incentive amount resulting